IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) No. 09/ALD/ 2024
(First Motion)

(Under Section 230 to 232 and other Applicable Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016).

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

HARI PRASAD BAL KRISHNA JEWELLERS PRIVATE LIMITED
having its registered office at Shop No. 12-13, Second Floor, GK Tower, Sheshpur, Opposite Sarafa Bhavan, Gorakhpur, Uttar Pradesh – 273 005
PAN: AABCH3947B
CIN: U36911UP2002PTC026602

..... Applicant Company 1 / HPBK Jewellers / Amalgamating Company

AND

HARI PRASAD GOPI KRISHNA SARAF PRIVATE LIMITED
having its registered office at Hindi Bazaar, Gorakhpur, Uttar Pradesh – 273 001
PAN: AABCH9523R
CIN: U27205UP2007PTC033032

... Applicant Company 2 / HPGK Saraf / Amalgamated Company

AND

Their respective creditors and shareholders

Order pronounced on: 14th June, 2024

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Coram:

Mr. Praveen Gupta. : Member (Judicial)

Mr. Ashish Verma : Member (Technical)

Appearances: -

For the Applicant Companies : Sh. Rahul Agarwal, Adv.

ORDER

1. This is a joint First Motion Application filed by the Applicant Companies namely; **Hari Prasad Bal Krishna Jewellers Private Limited** (Applicant Company 1 / Amalgamating Company) and **Hari Prasad Gopi Krishna Saraf Private Limited** (Applicant Company 2 / Amalgamated Company) (together referred to as **'Applicant Companies'**) under sections 230-232 of the Companies Act, 2013 (the '**Act'**) and other applicable provisions of the Act read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (the '**Rules**') in relation to the Scheme of Amalgamation amongst the Applicant Companies and their respective Shareholders and Creditors (the '**Scheme**' / **'Scheme of Amalgamation'**). The Scheme is attached as **Annexure 1** of the Application.

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2. In the instant application, it is proposed that the Applicant Company No.1 be amalgamated with Applicant Company No.2.

3. The Applicant Companies have prayed for:

a) Dispensing with the requirement for convening the meeting of Equity Shareholders, as on February 29, 2024, of Applicant Company 1 / Amalgamating Company and also dispense with the requirement of issuance and publication of notices for the same, since shareholders representing 100% shareholding/voting rights of equity shares have given their consent affidavits to the Scheme and towards dispensing with their meeting.

b) Dispensing with the requirement for convening the meeting of Secured Creditors, as on February 29, 2024, of Applicant Company 1 / Amalgamating Company and also dispense with the requirement of issuance and publication of notices for the same, in the view of the fact that there are Nil / No Secured Creditors as on February 29, 2024, in the Applicant Company 1 / Amalgamating Company.

c) Dispensing with the requirement for convening the meeting of Unsecured Creditors, as on February 29, 2024,

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of Applicant Company 1 / Amalgamating Company and also dispense with the requirement of issuance and publication of notices for the same, in the view of the fact that there are Nil / No Unsecured Creditors as on February 29, 2024, in the Applicant Company 1 / Amalgamating Company.

d) Dispensing with the requirement for convening the meeting of Equity Shareholders, as on February 29, 2024, of Applicant Company 2 / Amalgamated Company and also dispense with the requirement of issuance and publication of notices for the same, since shareholders representing 100% shareholding/voting rights of equity shares have given their consent affidavits to the Scheme and towards dispensing with their meeting.

e) Issuing necessary directions for convening the meeting of the Secured creditors of Applicant Company 2/ Amalgamated Company as on February 29, 2024, through video conference or other audio-visual means and for publication of notices of such meeting in the Business Standard (English) or any other English newspaper and in Dainik Jagran (Hindi), not less than thirty days before the

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date fixed for the meeting, and for giving individual notices to the Secured creditors of the Applicant Company 2 / Amalgamated Company through courier or speed post or registered post or email, in Form CAA 2 of Companies (Compromise, Arrangement and Amalgamations) Rules, 2016, and for fixing the quorum of the said meeting.

f) Issuing necessary directions for convening the meeting of the Unsecured creditors of Applicant Company 2/Amalgamated Company through video conference or other audio-visual means and for publication of notices of such meeting in the Business Standard (English) or any other English newspaper and in Dainik Jagran (Hindi), not less than thirty days before the date fixed for the meeting, and for giving individual notices only to the unsecured creditors of the Applicant Company 2 / Amalgamated Company having unsecured outstanding balance of equal to or more than INR 10,000/- each in Applicant Company 2 / Amalgamated Company as on February 29, 2024, through courier or speed post or registered post or email, in Form CAA 2 of Companies (Compromise, Arrangement, and Amalgamations) Rules, 2016, and for fixing the

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quorum of the said meeting.

4. The Applicant Company 1/Amalgamating Company is primarily engaged in the jewellery, gems and precious stones business and moreover holds investments and securities.

5. The Applicant Company 2 / Amalgamated Company is primarily engaged in the business of manufacturing and dealing in jewellery of gold, silver, diamond precious stones and other gems. Further, it also holds shares and securities of group entities, and engaged in deployment of surplus funds into identified investment avenues and portfolios and renting of immovable properties.

6. It is submitted that the Registered Offices of the Applicant Companies are situated in the State of Uttar Pradesh, therefore, the territorial jurisdiction of the Applicant Companies lies with this Bench.

7. The rationale of the Scheme is given below:

The managements of the respective Applicant Companies are of the view that the proposed merger in this Scheme is, in particular, expected to have the following benefits:

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a) Amalgamation of Amalgamating Company with the Amalgamated Company will lead to a simplified and streamlined holding structure, reduction of multitude of entities thus helping in easing and rationalizing the compliances. It shall also result in optimization of existing resources.

b) The amalgamation of Amalgamating Company with the Amalgamated Company shall expand the scope of business for the Amalgamated Company and the use the expertise, resources and technology available with the Amalgamating Company.

c) The amalgamation of the Amalgamating Company with the Amalgamated Company would, inter-alia, result in the following benefits:

— Attracting different sets of investors, strategic partners, lenders thereby enabling strategic / financial investment

— The Scheme will result in cost savings for the Participating Companies as they are capitalizing on each other's core competency and resources which are expected to result in stability of operations,

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optimization of costs and higher profitability levels for the Amalgamated Company.

The management of the respective Applicant Companies is of the view that this Scheme is in the best interest of the concerned shareholders, creditors, general public at large and all other stakeholders of the respective Participating Companies.

8. It is stated that the Board of Directors of the Hari Prasad Bal Krishna Jewellers Private Limited ***(Applicant Company 1 / Amalgamating Company)*** and Hari Prasad Gopi Krishna Saraf Private Limited ***(Applicant Company 2 / Amalgamated Company)*** in their respective meetings held on 10th April 2024 have considered and unanimously approved the Scheme subject to sanctioning of the same by the Hon'ble National Company Law Tribunal. The copies of the Board Resolutions of the Applicant Companies are attached to the Application as Annexure(s) 11 and 12.

9. The Appointed Date of the Scheme is 01st April 2024 as mentioned in the Scheme.

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10. It is stated that Applicant Company 1 filed the audited financial statements for the financial year ended on 31st March 2023 and management certified provisional financial statements as on 29th February 2024 which are attached to the Application as Annexure 3 and 4 respectively. Similarly, Applicant Company 2 filed the audited financial statements for the financial year ended on 31st March 2023 and management certified provisional financial statements as on 29th February 2024 which are attached to the Application as Annexure 7 and 8 respectively.

11. It is further submitted that in pursuance of the proviso to Section 230(7) and Section 232 (3) of the Act, the Applicant Companies have filed the certificates dated 12th April 2024 issued by the Statutory Auditors of the respective Applicant Companies certifying that the accounting treatment proposed in the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 and the same are attached as Annexure 22 and 23 of the Application.

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12. It is submitted by the learned Counsel that the Scheme of Amalgamation *(Annexure 1)* also takes care of the interests of the staff, workers and employees of the Applicant Companies, as provided under sub-clause(s) (vii), (viii) and (ix) to clause 4.2 of the Scheme of Amalgamation.

13. The Authorized Representatives of the Applicant Companies have deposed by way of affidavit that there are no inspection, inquiry, investigations or legal proceedings pending against the Applicant Companies under sections 206 to 229 of the Companies Act, 2013. The aforesaid Affidavit of the Authorized Representative of the Applicant Companies are attached to the Application as Annexure 24 (colly).

14. The Applicant Companies have furnished the following documents along with the Application:

i. Proposed Scheme of Amalgamation *(Annexure 1)*

ii. Certificate of Incorporation along with Memorandum and Articles of Association of the Applicant Companies *(Annexure(s) 2 & 6 respectively).*

iii. Certificate issued by Mehta Gaurav & Associates, Chartered Accountants certifying the list of Equity Shareholders of Applicant Company 1 / Amalgamating Company as on 29th February 2024 along with the

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consent affidavits received from the Equity Shareholders approving the Scheme of Amalgamation *(Annexure(s) 13 & 14 respectively).*

iv. Certificate issued by Mehta Gaurav & Associates, Chartered Accountants certifying the list of Secured Creditors of Applicant Company 1 / Amalgamating Company as on 29th February 2024 *(Annexure 15).*

v. Certificate issued by Mehta Gaurav & Associates, Chartered Accountants certifying the list of Unsecured Creditors of Applicant Company 1 / Amalgamating Company as on 29th February 2024 *(Annexure 16).*

vi. Certificate issued by Mehta Gaurav & Associates, Chartered Accountants certifying the list of Equity Shareholders of Applicant Company 2 / Amalgamated Company as on 29th February 2024 along with the consent affidavits received from the Equity Shareholders approving the Scheme of Amalgamation *(Annexure(s) 17 & 18 respectively)*

vii. Certificate issued by Mehta Gaurav & Associates, Chartered Accountants certifying the list of Secured Creditors of Applicant Company 2 / Amalgamated Company as on 29th February 2024 *(Annexure 19).*

viii. Certificate issued by Mehta Gaurav & Associates, Chartered Accountants certifying the list of Unsecured Creditors of Applicant Company 2 / Amalgamated Company as on 29th February 2024 *(Annexure 20).*

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ix. Certificates of the Statutory Auditors of the Applicant Companies to the effect that the accounting treatment proposed in the Scheme is in conformity with the provisions of Section 133 of the Companies Act, 2013 *(Annexure(s) 22 and 23 respectively).*

x. Audited financial statements for the financial year ending 31st March 2023 and management certified provisional financial statements as on 29th February 2024 of the Applicant Company 1 and 2 *(Annexure(s) 3, 4, 7 and 8 respectively).*

xi. Annual Return for FY 2022-23 of the Applicant Companies *(Annexures 5 and 9 respectively).*

xii. Resolution passed by the Board of Directors of the Applicant Companies approving the Scheme *(Annexure(s) 11 and 12 respectively).*

xiii. Certified true copy of the Valuation Report / Share Exchange Ratio Report issued by Transaction Square Advisory LLP, Registered Valuer – Securities or Financial Assets, IBBI Registration Number – IBBI/RV-E/06/2023/194 dated 10th April 2024 *(Annexure 21).*

xiv. Affidavits of the Authorised Representatives of the Applicant Companies qua sectoral regulator and pending litigations *(Annexure 24 (colly).*

15. The Applicant Companies have furnished the details of the Equity Shareholders, and Secured and Unsecured Creditors as on 29th February 2024 as follows:

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Name of the Applicant Companies	Shareholders along with their consent on affidavit		Creditors along with their consents on affidavit			
	Equity Shareholders	Consents submitted on affidavit	Secured Creditors	Consents submitted on affidavit	Unsecured Creditors	Consents submitted on affidavit
Hari Prasad Bal Krishna Jewellers Private Limited (Applicant Company 1/ Amalgamating Company)	13	100%	NIL	NA	NIL	NA
Hari Prasad Gopi Krishna Saraf Private Limited (Applicant Company 2/ Amalgamated Company)	11	100%	7	None	4827	None

16. Accordingly, the directions of this Bench in the present case are as under:-

I. **<u>In relation to Applicant Company 1 / Amalgamating Company:</u>**

1. The meeting and the requirement of issuance and publication of notices to the Equity Shareholders is

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dispensed with keeping in view the shareholding and ownership pattern and the fact that the consent by way of affidavits have been received from all the Equity Shareholders holding 100% equity share capital of the Applicant Company 1 / Amalgamating Company.

2. As on 29th February 2024, the Applicant Company 1 / Amalgamating Company has no Secured and Unsecured Creditors; the question of issuing directions for convening / dispensing the meeting of the Secured and Unsecured Creditors of the Applicant Company 1/ Amalgamating Company does not arise.

II. **In relation to Applicant Company 2 / Resulting Company 1**

1. The meeting and the requirement of issuance and publication of notices to the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern and the fact that the consent by way of affidavits have been received from all the Equity Shareholders holding 100% equity share capital of the Applicant Company 2 / Amalgamated Company.
2. The meeting of the Secured Creditors of the Applicant

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Company 2 / Amalgamated Company be convened as prayed for on **Saturday, 24th August 2024 at 3:00 pm** through video conferencing, with remote e-voting facility. The quorum of the meeting of the Secured Creditors shall be in accordance with the provisions of the Companies Act, 2013 and the applicable Rules made thereunder. In case the quorum of meeting is not present within half an hour from the time appointed for the meeting, the Secured Creditors present in the meeting after half an hour shall constitute the quorum and proceedings of the meeting shall take place;

3. The meeting of the Unsecured Creditors, having unsecured outstanding balance of more than INR 10,000/- each, of the Applicant Company 2 / Amalgamated Company be convened as prayed for on **Saturday, 24th August 2024 at 11:00 am** through video conferencing, with remote e-voting facility. The quorum of the meeting of the Unsecured Creditors shall be in accordance with the provisions of the Companies Act, 2013 and the applicable Rules made thereunder. In case the quorum of meeting is not present within half an hour

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from the time appointed for the meeting, the Unsecured Creditors present in the meeting after half an hour shall constitute the quorum and proceedings of the meeting shall take place.

III. Rajasekhar V.K. (Mobile No. 8420463344, email id: Rajasekhar.vk@gmail.com), is appointed as the Chairperson, and Mr. Abhishek Kumar (Mobile No. 9897465006 email id: adv.kumarabhishek@gmail.com) is appointed as the Alternate Chairperson for the meetings to be called under this order. An amount of Rs. 2,00,000/- (Rupees Two Lakhs only) and Rs. 1,50,000 (Rupees One Lakh Fifty Thousand only) be paid respectively for their services. The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting(s) or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to the Scheme, if any, proposed by any persons.

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IV. **Mr. S.K. Gupta CS** (Mobile No. 9415042137, email id: skgupta1903@gmail.com), is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of Rs. 1,00,000 (Rupees One Lakh only) be paid for his services as the Scrutinizer.

V. Apart from the above remuneration, the Applicant Company shall make necessary and proper arrangements for travel/transport, stay, and other allied expenses, if any.

VI. It is further directed that individual notices of the said meetings shall be sent by the Applicant Company through speed post or registered post and through e-mail (wherever available), at least 30 (Thirty) days in advance before the scheduled date of the meeting, indicating the day, date, the place and time as aforesaid, together with a copy of the Scheme copy of the Explanatory Statement and documents required to be sent under the Companies Act, 2013 and the applicable Rules made thereunder.

VII. It is clarified that in the case of Unsecured Creditors of the Applicant Company 2 / Amalgamated Company, such notices shall be sent only to those Unsecured Creditors whose outstanding balance is equal to or more than INR

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10,000/- (Indian Rupees Twenty-Five Thousand only). It is further clarified that sending of notice by e-mail shall be in addition to the sending of hard copies of the notices through speed post or registered post.

VIII. It is further directed that along with the notices, the Applicant Company shall also send statements explaining the effect of the Scheme on the creditors, shareholders, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the Scheme on any material interests of the Directors of the Applicant Company provided under sub-section (3) of Section 230 of the Act.

IX. That the Applicant Company shall publish an advertisement with a gap of at least 30 (Thirty) clear days before the aforesaid meetings, indicating the day, date and the time of the meeting as aforesaid, to be published in "Business Standard (English)" and "Dainik Jagran (Hindi)". It shall be stated in the advertisement that the copies of the Scheme, the Explanatory Statement required to be furnished, can be obtained free of charge at the registered office of the Applicant Company 2 pursuant to Section 230 to 232 of the Act. The Applicant Company 2 shall also host

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the notice on the website, if any.

X. It shall be the responsibility of the Applicant Company 2 to ensure that the notices are sent under the signature and supervision of the authorized representative of the Applicant Company 2 on the basis of Board Resolution(s) and that they shall file their affidavits in the Tribunal at least 7 (Seven) days before the date fixed for the meetings.

XI. The remote e-voting facility shall be provided to the Secured and Unsecured Creditors of the Applicant Company 2 as on 29th February 2024 and the procedure for voting through remote e-voting of the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014.

XII. All the aforesaid meetings shall be held through video conferencing and voting shall be conducted through electronic means. Subject to the directions and matters dealt with herein, the procedure for remote e-voting and e-voting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the Forms prescribed

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thereunder shall be followed with such variations as may be required in the circumstances and in relation to the resolution for approval of the Scheme.

XIII. The Scrutinizer's report will contain his / her findings on the compliance to the directions given above.

XIV. The Chairperson shall be responsible to report the result of the meetings to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 14 (Fourteen) days of the conclusion of the meeting. The Chairperson would be fully assisted by the Authorized Representative / Company Secretary of the Applicant Companies and the Scrutinizer in preparing and finalizing the reports.

XV. The Applicant Companies shall in compliance of sub-section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi;

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(ii) Jurisdictional Registrar of Companies; (iii) Official Liquidator, Allahabad, (iv) Income-Tax Department having jurisdiction over the Applicant Companies by mentioning the PAN number of the Applicant Companies and to such other Sectoral Regulator(s) governing the business of the Applicant Companies, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 (Thirty) days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the Applicant Companies, failing which it shall be presumed that they have no objection to the proposed Scheme.

XVI. The Applicant Companies shall furnish a copy of the Scheme free of charge within one day of any requisition for the Scheme made by any Creditor entitled to attend the meeting as aforesaid.

XVII. The Authorized Representative of the Applicant Companies shall furnish an Affidavit of Service of Notice of Meetings and publication of advertisement and compliance of all directions contained herein at least 7 (Seven) days before the date fixed for the meetings.

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XVIII. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

17. The Second Motion petition shall be filed within 7 days from the date of submission of report by Chairperson in accordance with the provisions of rule 16 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

18. With the aforesaid directions, this First Motion Application stands disposed of. A copy of this order be supplied to the learned Counsel for the Applicant Companies who in turn shall supply a copy of the same to the Chairperson and the Scrutinizer immediately.

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(ASHISH VERMA)
Member (Technical)

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(PRAVEEN GUPTA)
Member (Judicial)

Date: 14th June, 2024

Aditi Kharbanda
(LRA)